MARKETBEAT

PHOENIX

OFFICE Q2 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
27.5% Vacancy Rate	▼	▬
399K YTD Net Absorption, SF	▲	▲
$30.23 Asking Rent, PSF	▲	▲

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.2% U.S. Unemployment Rate	▲	▲

Source: BLS

ECONOMY: STEADY GROWTH AMIDST RISING UNEMPLOYMENT

In Q2 2025, the Phoenix Metro reported an employment level of 2.5 million jobs, while the unemployment rate rose from 3.0% in Q2 2024 to 3.6%. Despite the uptick, the Valley's unemployment rate remained well below the national average of 4.2%, ranking as the fourth-lowest among major U.S. cities with employment exceeding 2.0 million jobs. Population growth persisted, though at a slower pace than in prior quarters, registering a 1.6% year-over-year (YOY) increase. Strong wage gains continued to draw job seekers into the labor force, with the median household income rising 3.6% YOY to $91,000. Meanwhile, the Consumer Price Index for the Phoenix area rose only 0.3% YOY, according to the Bureau of Labor Statistics.

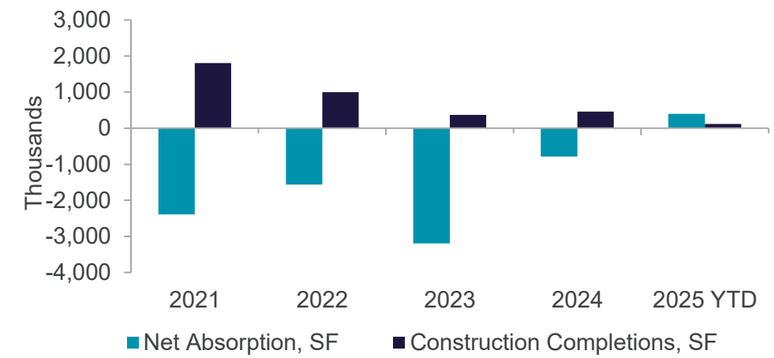
DEMAND: VACANCY RATE FLATTENING OUT

Phoenix's office vacancy rate held steady at 27.5% in Q2 2025, unchanged from the previous quarter, but down 90 basis points (bps) from the market's peak in Q3 2024. A growing number of office demolitions, conversions and owner-user acquisitions have recently helped stabilize overall vacancy, while positive absorption in the first half has also provided a tailwind. Sublease vacancy fell by 20 bps quarter-over-quarter (QOQ) to 4.7%, while the direct rate rose by the same amount to 22.8%. Vacancy among Class A and B properties also declined by 20 bps each, while the Class C metric increased by 80 bps.

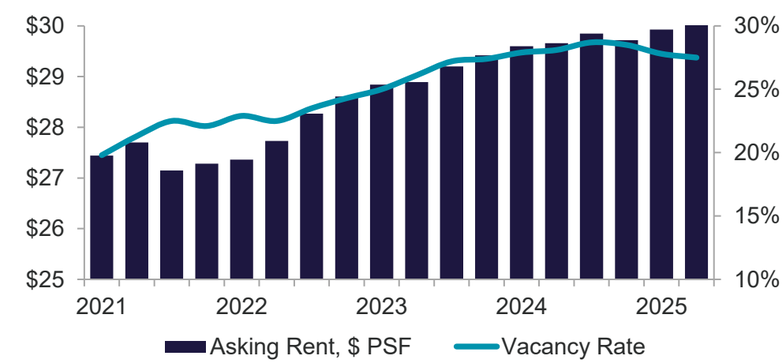
DEMAND: LEASING ACTIVITY SHOWING BROAD-BASED IMPROVEMENT

The Phoenix office market recorded 1.5 million square feet (msf) of gross leasing activity in Q2 2025. This marked a 10% increase over Q1 of this year and ended a three-quarter span of consecutive QOQ declines. Tenant demand was widespread, with seven out of 24 submarkets reporting over 100,000 sf of new leases. The Price/Chandler/Gilbert submarket stood out with a 270,504-sf-total in Q2, which marked the area's strongest quarterly activity during the post-pandemic era. The Scottsdale Airpark and Midtown submarkets ranked second and third within Phoenix, posting leasing activity of 191,835 sf and 171,931 sf, respectively. Class A spaces also played a significant role in the market's improved momentum, noting a four-quarter high of 642,236 sf. Nevertheless, Class B spaces continued to attract the most activity, with 741,398 sf in Q2.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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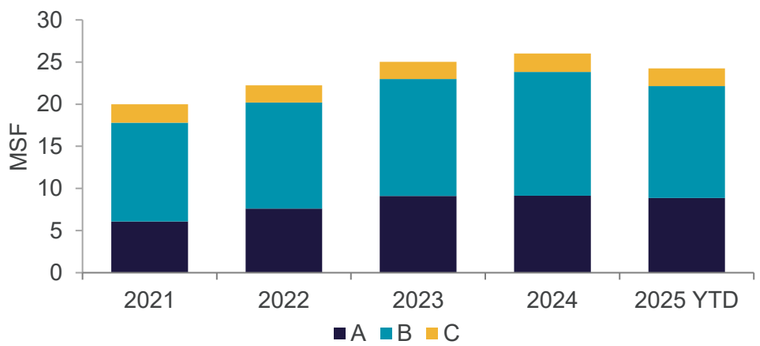
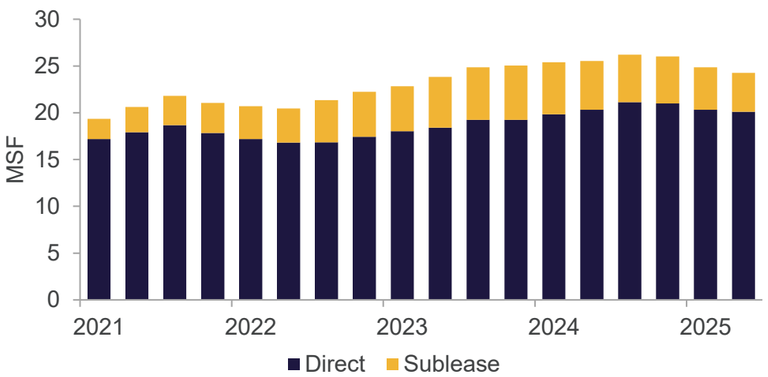
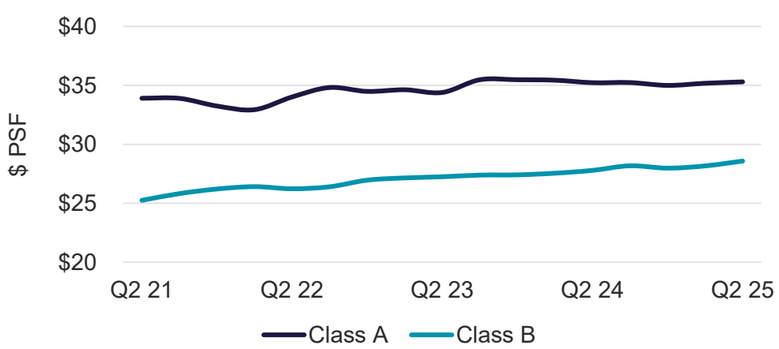
VACANT SPACE BY CLASS



DIRECT VS. SUBLEASE SPACE AVAILABLE COMPARISON



ASKING RENT COMPARISON



DEMAND: NET ABSORPTION REMAINS POSITIVE OVER 1H 2025

After two consecutive quarters of positive gains, overall office net absorption in Phoenix took a slight step back to -43,563 sf in Q2 2025. Still, the Metro's office market has shown meaningful improvement compared to this same time last year. Net absorption in the first half of 2025 totaled 398,981 sf, a notable shift from the -524,165 sf recorded in 1H 2024. Most of the negative absorption in Q2 2025 was observed at Class C spaces, which noted -83,732 sf of net relinquishment. In contrast, Class A properties reported positive absorption of 67,244 sf, driven by move-ins from Gen Digital (75,051 sf), Sequoia (42,783 sf) and Yrefy (39,445 sf). Tempe (63,508 sf) and Scottsdale Airpark (52,738 sf) were the top-performing submarkets in the quarter, while the Camelback Corridor (-59,336 sf) and Deer Valley (-40,524 sf) submarkets experienced the largest net declines in occupied stock.

SUPPLY: SUBLEASE VACANCY REACHES THREE-YEAR LOW

In Q2 2025, the amount of vacant sublease space in Phoenix fell by 239,273 sf to 4.2 msf, marking the Metro's lowest level since Q2 2022. Of the sublease space that was removed from the market, more than 95% was occupied by subtenants, rather than rolled into direct availabilities. Despite the decline in sublease vacancy, several new listings are still expected to hit the market in Q3 2025. Two of the largest include Equality Health's 50,334-sf block at Riverwalk Arizona in Central Scottsdale, and Morgan Stanley's 31,655-sf floor at Rivulon in the Price/Chandler/Gilbert submarket.

PRICING: AVERAGE RENT ECLIPSES $30-MARK FOR THE FIRST TIME

The Metro's overall full-service gross asking rental rate grew by 1.1% from Q1 to Q2 2025, reaching a record-high of $30.23 per square foot (psf). Class B spaces led the market's overall growth with a 1.5% increase QOQ, while Class A and C properties also posted gains of 1.1% and 0.1%, respectively. The average rental rate advanced by 3.5% QOQ in the Camelback Corridor, the metro's most expensive submarket, with asking rates for premium spaces reaching as high as $65.00 psf. Meanwhile, Central Phoenix, one of the metro's lowest-cost areas, ranked as the strongest-growth submarket during Q2, as its average asking rent rose by 5.6% to $22.09 psf.

THE BRIGHT SIDE: SMALLER OFFICES STILL IN HIGH DEMAND

Smaller office buildings, which often cater to local business, professional services and medical uses, continued to outperform larger buildings through the second quarter of 2025. The segment of office product between 20,000 sf and 50,000 sf reported an overall vacancy rate of just 15.5%, while the overall vacancy rate in office properties larger than 50,000 sf settled at 29.3%. Due to the current desirability of smaller floor plates, the segment of office product between 20,000 sf and 50,000 sf recorded an overall vacancy rate that was 90 bps lower in Q2 2025 compared to the Q4 2019 vacancy rate of 16.4%.

OUTLOOK

- Positive momentum is building in the Phoenix office market. Although net absorption was negative in Q2 2025, the Metro posted its first positive first-half total since 2022. While footprint downsizings may still pose challenges, Phoenix's strong demographics and economic growth should continue to positively influence demand for office space in the long-term. We expect the highest quality and most well-amenitized product to outperform Class B and C buildings over the next 3-5 years.
- Sublease vacancy likely peaked in Q4 2023 and has since declined by 25.1% over the last six quarters. We anticipate this trend to continue as fewer sublease listings are coming to market, and as many tenants capitalize on opportunities to secure space in desirable locations at a significant discount to direct lease rates.
- Only two new speculative office projects are currently underway in Phoenix. This includes Central Station, a new mixed-use development in downtown Phoenix that is planned to include over 70,000 sf of office space, and an additional 37,000 sf office building at The Grove in the Camelback Corridor submarket.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**
(1) Arrowhead	480,517	1,800	92,045	19.5%	-16,679	-17,646	32,426	-	$30.76
(2) Metrocenter	4,850,549	67,946	1,613,826	34.7%	-19,834	-9,872	115,905	-	$23.02
(3) Glendale 101	749,464	37,122	117,605	20.6%	-2,641	16,994	10,035	-	$26.86
(4) Southwest Phoenix	313,743	-	-	0.0%	-	28,500	32,841	-	N/A
(5) Piestewa Peak	2,278,547	133,218	386,376	22.8%	-2,061	-28,258	64,963	-	$26.15
(6) Midtown	8,502,520	55,204	2,470,058	29.7%	32,344	-10,244	245,495	-	$25.58
(7) Downtown	5,905,892	370,262	1,381,597	29.7%	-1,351	-37,163	76,617	73,000	$31.41
(8) Desert Ridge/Paradise Valley	1,710,549	10,793	463,563	27.7%	-20,303	-11,667	175,191	471,155	$32.24
(9) Camelback Corridor	7,037,109	113,675	1,532,577	23.4%	-59,336	-29,278	277,799	37,000	$40.16
(10) Central Phoenix	880,077	-	150,208	17.1%	1,325	-8,642	14,573	-	$22.09
(11) North Airport/44th St Corridor	2,433,500	114,891	747,323	35.4%	-9,408	-27,845	42,795	-	$28.70
(12) South Airport	5,796,309	605,188	1,678,500	39.4%	28,160	40,824	52,021	-	$28.15
(13) Scottsdale Airpark	9,355,276	331,921	1,377,011	18.3%	52,738	78,721	355,396	-	$33.06
(14) Central Scottsdale	4,828,775	133,422	770,384	18.7%	-35,146	-63,115	93,930	-	$32.01
(15) South Scottsdale	4,344,764	41,485	1,297,546	30.8%	-6,476	-2,292	204,992	-	$35.54
(16) Tempe	10,290,873	1,002,862	2,043,689	29.6%	63,508	342,237	336,793	-	$35.53
(17) South Tempe/Ahwatukee	1,675,191	20,116	386,137	24.3%	9,361	8,677	36,697	-	$26.08
(18) East Mesa	489,078	-	99,646	20.4%	-13,560	-4,916	26,824	-	$20.54
(19) Superstition Corridor	2,828,171	32,240	596,628	22.2%	-11,787	-32,354	106,472	-	$24.16
(20) Price/Chandler/Gilbert	8,484,630	587,312	1,935,198	29.7%	1,543	195,708	410,779	-	$30.04
(21) Deer Valley	4,308,463	496,030	813,477	30.4%	-40,524	-45,845	113,341	-	$28.85
(22) West I-10	317,674	6,728	70,440	24.3%	6,900	7,424	35,696	-	$35.20
(23) Loop 303/Surprise	129,735	-	39,717	30.6%	-	5,052	11,256	-	$33.00
(24) Phoenix-Mesa Gateway/Loop 202	341,530	-	32,654	9.6%	-336	3,981	10,021	-	$35.82
PHOENIX TOTALS	**88,332,936**	**4,162,215**	**20,096,205**	**27.5%**	**-43,563**	**398,981**	**2,882,858**	**581,155**	**$30.23**
Class A	29,563,506	2,547,545	6,307,728	30.0%	67,244	339,770	1,080,978	544,155	$35.30
Class B	46,434,945	1,582,509	11,696,993	28.6%	-27,075	88,267	1,480,211	37,000	$28.58
Class C	12,334,485	32,161	2,091,484	17.2%	-83,732	-29,056	321,669	-	$21.90
PHOENIX TOTALS	**88,332,936**	**4,162,215**	**20,096,205**	**27.5%**	**-43,563**	**398,981**	**2,882,858**	**581,155**	**$30.23**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

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MAJOR MARKET STATISTICS

MAJOR MARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)*	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (ALL CLASSES)**	OVERALL AVG ASKING RENT (CLASS A)**
Camelback/Piestewa Peak	9,315,656	246,893	1,918,953	23.2%	-61,397	-57,536	342,762	37,000	$36.80	$43.87
Central Business District	14,408,412	425,466	3,851,655	29.7%	30,993	-47,407	322,112	73,000	$27.97	$34.16
East Phoenix	9,109,886	720,079	2,576,031	36.2%	20,077	4,337	109,389	-	$28.02	$31.59
Northeast Valley/Scottsdale	20,239,364	517,621	3,908,504	21.9%	-9,187	1,647	829,509	471,155	$33.51	$37.93
Southeast Valley	13,818,600	639,668	3,050,263	26.7%	-14,779	171,096	590,793	-	$28.40	$30.89
Tempe	10,290,873	1,002,862	2,043,689	29.6%	-63,508	342,237	336,793	-	$35.53	$43.02
West/Northwest Phoenix	11,150,145	609,626	2,747,110	30.1%	-72,778	-15,393	351,500	-	$26.09	$30.56
PHOENIX TOTALS	**88,332,936**	**4,162,215**	**20,096,205**	**27.5%**	**-43,563**	**398,981**	**2,882,858**	**581,155**	**$30.23**	**$35.30**

**Renewals not included in leasing statistics. **Rental rates reflect full service asking.*

KEY LEASE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Sprouts Headquarters	Desert Ridge/Paradise Valley	Sprouts Farmers Market	144,500	Direct New
Corporate Parkway North	Deer Valley	Paychex	76,000	Renewal/Downsize
The Reserve at SanTan – Building 4	Price/Chandler/Gilbert	Progressive	64,427	Renewal/Expansion
Central Arts Plaza	Midtown	Tiffany & Bosco	57,813	Direct New
Two Scottsdale Landing	Scottsdale Airpark	Confidential	55,573	Direct New

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q2 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Camelback Collective	Camelback Corridor	Humphreys Capital / K&C Management	115,838	$48.2M / $417
Scottsdale Centre	Central Scottsdale	MIG Real Estate / The Cardon Group	163,311	$44.6M / $273
4950 S 48th St	South Airport	Newstreet Properties / First Citizens Bank	73,377	$22.4M / $305
The Monroe	Downtown	Granite Point Mortgage Trust / Kellwood	261,672	$17.1M / $65
92 Mountainview	Central Scottsdale	Platinum Advisors / RBC Devco	116,200	$11.5M / $99

KEY CONSTRUCTION COMPLETIONS YTD 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Gilbert Spectrum – Building 3	Price/Chandler/Gilbert	Northrop Grumman	119,222	SunCap Property Group

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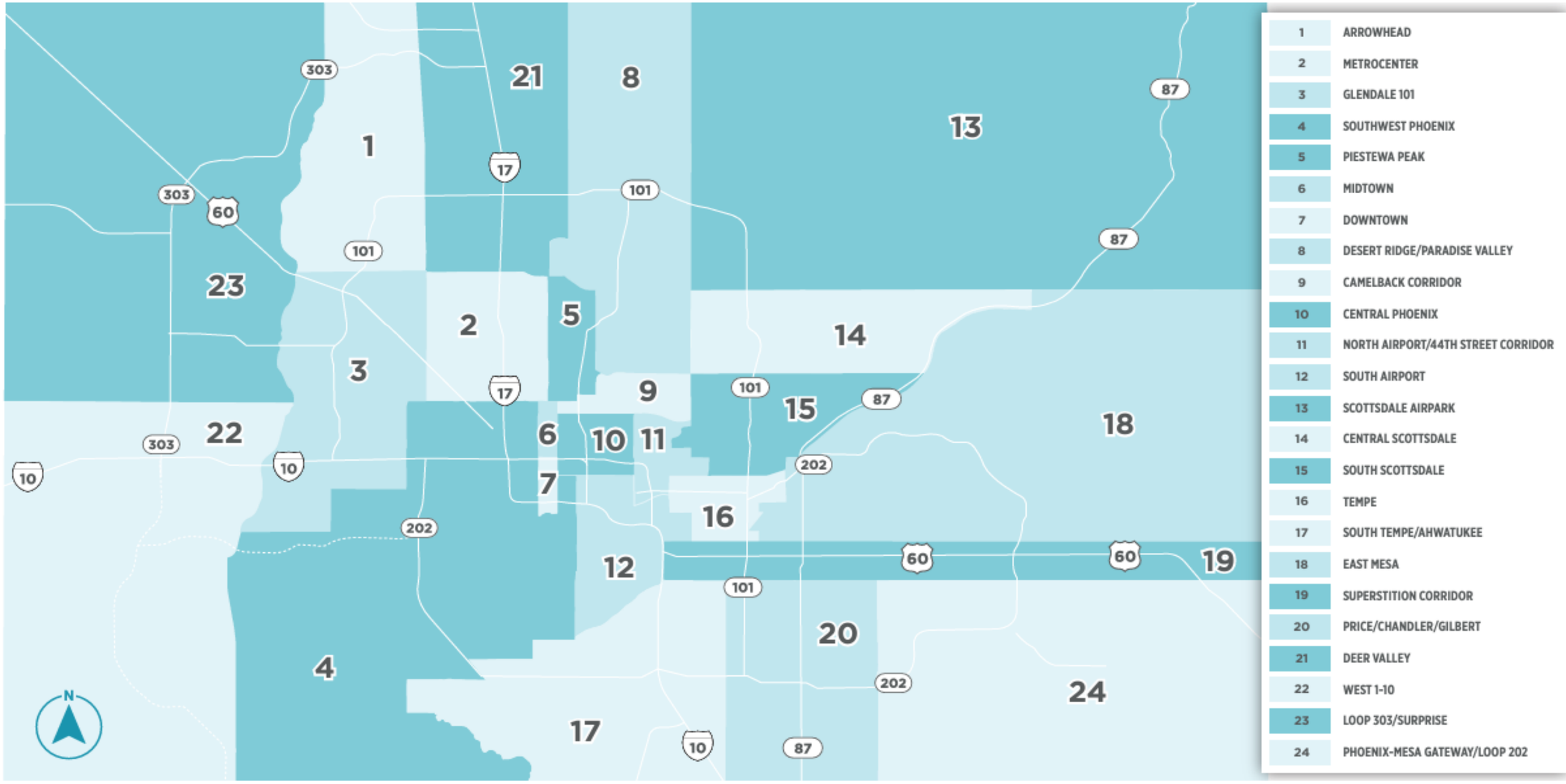
OFFICE SUBMARKETS



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